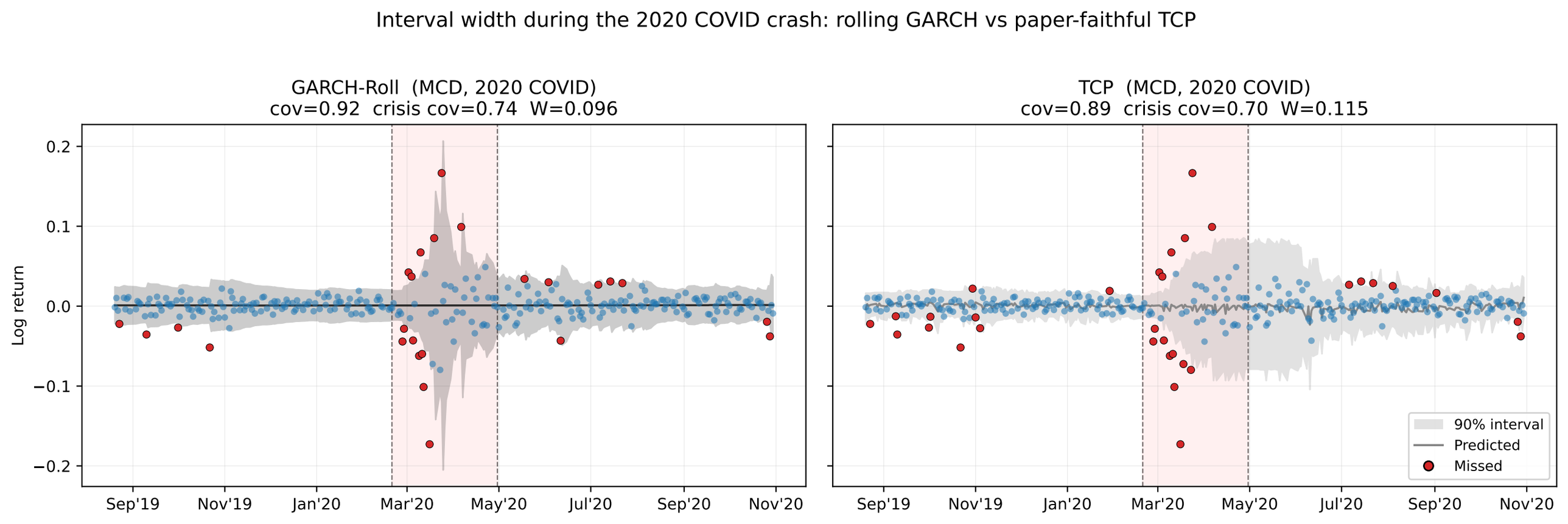
Interval width during the 2020 COVID crash: rolling GARCH vs paper-faithful TCP
GARCH-Roll (MCD, 2020 COVID)
cov=0.92 crisis cov=0.74 W=0.096
TCP (MCD, 2020 COVID)
cov=0.89 crisis cov=0.70 W=0.115
Log return
0.2
0.1
0.0
−0.1
−0.2
Sep'19
Nov'19
Jan'20
Mar'20
May'20
Jul'20
Sep'20
Nov'20
90% interval
Predicted
Missed